

**EXHIBIT A
BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-15

**NETCYCLE TRADING CORP., REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE NO. 021597NF**

**NETCYCLE TRADING CORPORATION PROPOSED
RESPONSE**

Pursuant to 46 C.F.R. 502.703, and the April 16, 2024, Notice of Right to Response and to Reply issued by Chief Administrative Law Judge, Erin M. Wirth, Netcycle hereby responds in support of continuing its license. Although Netcycle's time for response expired on May 16, 2024, we are respectfully filing the response at this time as an attachment to our motion to accept the late filing as required by Rule 102.

Netcycle is a small, family-owned business located in Miami Florida. Netcycle provides important services, including freight forwarding services and warehousing. Netcycle has been duly licensed by the Federal Maritime Commission since 2008 without prior incident or complaint. For nearly 20 years Netcycle has been an important source of employment and shipping services for the community.

On March 8, 2024, the BOEIC issued a letter to Netcycle indicating that it intended to revoke Netcycle's OTI license. In the BOEIC Submission of Materials Supporting Notice of Intent to Revoke, the BEIC indicates it seeks to revoke Netcycle's ocean transportation intermediary (OTI) license "due to "to (1) the criminal guilty plea by Netcycle's listed President, Secretary and

Qualifying Individual (QI) in the U.S. District Court for the Southern District of Florida and (2) Netcycle's failure to report material changes to the Commission, including any criminal indictment or conviction of a licensee, QI, or officer under 46 C.F.R. § 515.20(e)." Docket No. 24-15, Document No. 5.

Netcycle does not seek to dispute that Netcycle's listed President, Secretary and Qualifying Individual (QI) Ms. Nadia Ledesma, was indicted as alleged by the BOEIC. Further, there is no dispute that as Netcycle's President, Ms. Ledesma took personal responsibility for the issues that occurred in her business and, in order to resolve the matter expeditiously, agreed to plead guilty to a single count. Ms. Ledesma thereafter resigned her position as President with Mr. Carlos Ledesma Jr., her stepson, took over as President of Netcycle while Ms. Ledesma took a position as Director to assist Mr. Ledesma Jr. and ensure Netcycle maintained a QI. See Exhibit A. There is also no dispute that Ms. Ledesma failed to report the matter to the FMC under a mistaken belief that it was unnecessary. As discussed below, however, the circumstances of this matter do not warrant the extreme sanction of license revocation along with the significant harm to the community and employees that such a revocation would cause.

It is well settled that a license revocation is not an automatic penalty for a violation nor is it the only potential remedial action that the Commission can take in response to a violation. "[T]he choice of remedy is as important a decision as the initial construction of the statute and finding of a violation." *Stallion Cargo* 2001 WL 379928 at 17 (Case citation omitted). "[T]he Commission has considerable discretion in determining appropriate sanctions and remedies but is expected to exercise great care to ensure that the penalties are tailored to the particular facts of the case and are not unduly harsh or extreme." *Id.* at 19. An appropriate sanction should be remedial in nature, not punitive, and should have at its purpose protecting the shipping public. *Washington Movers*

2018 WL 1483192 at 13. “Consequently, license revocation is used in only the most egregious instances.” *Id.*

In this matter, for the reasons set forth below, we believe that a more appropriate remedy than revocation would be allowing Ms. Ledesma an opportunity to fully divest ownership, resign her position as QI and for Netcycle to quickly file an FMC-18 designating Mr. Carlos Ledesma Jr. as replacement QI, who is sufficiently experienced and is unrelated to the issues at hand.

In *Washington Movers*, an analogous situation where a QI was convicted of criminal activity followed by a change in QI, the Commission explained that a change in QI was a factor mitigating away from revocation of the OTI license. While the Commission ultimately revoked the license, it explained that

tipping the scales in favor of revocation, is Sam Ghanem’s continued involvement with Washington Movers after his arrest for smuggling and after control of the company was ostensibly transferred to Norma Ghanem. Despite Washington Movers’ purported efforts to distance itself from Sam Ghanem, he continued to work for Washington Movers and was an integral part of the business.

Id. at 16. Here, in contrast, should the Commission allow, Ms. Ledesma fully intends on a complete divestiture of ownership of Netcycle and the transfer of QI to Mr. Ledesma Jr.,¹ in order to allow Netcycle to continue serving its long-standing clients, the community and maintain the livelihood of its employees. Ms. Ledesma would remain as director only so long as required to assist in the transfer.

Allowing time for a full transfer of ownership and the filing of an FMC-18 to replace Ms. Ledesma with someone with sufficient experience would be a just and appropriate remedy. It would allow the Commission to protect the shipping public by ensuring that Netcycle is owned by an individual and has a QI without a connection to the past issues, while allowing Netcycle to continue serving its community as an important service provider and employer.

¹ All former personnel related to the issues leading to this matter, other than Ms. Ledesma, have ceased interactions with Netcycle.

Wherefore, based upon the proceedings had herein, we request the Chief Administrative Law Judge conclude that the revocation of Netcycle's OTI license is not the appropriate remedy in this matter, rather, allowing time for a divestiture of ownership and a QI change is appropriate.

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